

AI Use-Case Assessment

v0.2 | A lightweight pre-implementation assessment for practical AI governance

Purpose. Use this assessment before an AI use case moves from idea or experimentation into operational use. It helps teams identify issues early and make a deliberate, proportionate and owned decision.

Core model: Use Case -> Data Classification -> Platform -> Impact -> Controls -> Decision -> Review

Important: This is a practical governance aid, not legal advice and not a substitute for privacy, security, legal, procurement, records-management or formal risk assessments where required.

1. Use-case profile

Use-case name	
Business owner	
Assessment owner	
AI product / platform	
Proposed users	
Assessment date	
Review date / trigger	

Problem and intended outcome

Assessment question	Y	N	?	N/A	Control / note
What problem or opportunity are we addressing?					
Why is AI appropriate? Could the outcome be achieved more simply without AI?					
What measurable benefit is expected - time, cost, quality, customer experience, risk reduction or new capability?					
How will success be measured?					

2. Data classification and information handling

Start with the organisation's existing classification. AI governance should extend - not replace - existing information classification and data-handling requirements. Confirm the classification of information involved and whether that class is permitted in the proposed AI platform.

Refer to organisational **Data Classification, Data Loss Prevention (DLP), Information Security, Privacy and Acceptable Use** policies. If classification or permitted AI use is unclear, **check with local IT, Information Security, Privacy or Risk before proceeding.**

Illustrative model only

Example classification	Typical information	AI handling starting point
Public	Published information, marketing material	Generally suitable for approved AI tools
Internal	Internal operational information	Approved tools, subject to organisational policy
Confidential	Commercial terms, sensitive internal information	Vetted/enterprise tools only; confirm controls
Restricted / Regulated	PII, financial, health, regulated/highly sensitive information	Do not use without explicit organisational approval

Important: This is an example only. Always use the organisation's existing classification scheme and policies where they exist.

Assessment question	Y	N	?	N/A	Control / note
What is the highest organisational data classification involved in this use case?					
Is this classification permitted in the proposed AI platform under existing organisational policy?					
Have applicable DLP, information-security, privacy and acceptable-use requirements been checked?					
If classification or permitted use is unclear, has IT / Information Security / Privacy / Risk been consulted?					
Is the source, ownership and permitted use of input data understood?					

Assessment question	Y	N	?	N/A	Control / note
Could prompts, uploaded information or outputs be retained or used by the provider for training/service improvement?					
Are data location, retention and deletion arrangements understood and acceptable?					
Could generated outputs expose confidential information, intellectual property or copyrighted material?					
Could source code, configuration, credentials, secrets, tokens or connection information be exposed?					

Escalation trigger: Sensitive/regulated data, unclear classification or ownership, unclear provider retention/training terms, unresolved IP concerns, or possible exposure of credentials/secrets should trigger further review.

3. Platform and supplier

Assessment question	Y	N	?	N/A	Control / note
Is the AI platform approved for organisational use?					
Has the supplier/platform been assessed for security, privacy and contractual risk proportionate to the use case?					
Are authentication, access control and administrative ownership appropriate?					
Can usage be logged, monitored and reviewed?					
Is there an acceptable exit path if the service changes, fails or is withdrawn?					
Are material subcontractors, integrations or external data flows understood?					

4. Impact and decision risk

Data sensitivity and AI use-case impact are related but different. Public data can still support a high-impact decision; confidential data may sometimes be used safely in an approved enterprise platform with appropriate controls.

Assessment question	Y	N	?	N/A	Control / note
Could an incorrect, biased or misleading output cause material harm to a person, customer, organisation or community?					
Will AI materially influence a decision affecting an individual, such as employment, credit, eligibility, health, safety or access to a service?					
Will people interact directly with AI, or receive AI-generated outputs, without meaningful human review?					
Could failure or unavailability materially disrupt a critical business process?					
Is there a realistic risk of discriminatory, unfair or systematically biased outcomes?					
Is the use case operating in a regulated, safety-critical or otherwise high-consequence environment?					

Escalation trigger: High-impact decisions, material-harm potential, safety-critical or regulated use should normally require fuller assessment and specialist review.

5. Human oversight and quality

Assessment question	Y	N	?	N/A	Control / note
Is a named person or role accountable for the use case?					
Is human review required before material outputs or decisions are acted upon?					
Do reviewers understand that AI outputs can be inaccurate, incomplete or fabricated?					
Is there a practical method to validate important outputs against authoritative information?					
Can a person challenge, override or correct an AI-supported outcome where appropriate?					
Are users trained on acceptable use, limitations, data handling and escalation?					

6. Security and misuse

Assessment question	Y	N	?	N/A	Control / note
Have plausible misuse scenarios been considered?					
Could the use case enable fraud, impersonation, unsafe automation, data leakage or unauthorised actions?					
Are permissions limited to what the AI actually needs?					
If AI can invoke tools, code, workflows or systems, are consequential actions appropriately constrained and reviewed?					
Are incident reporting and response paths clear?					
Is monitoring proportionate to the potential impact?					

7. Transparency, lifecycle and review

Assessment question	Y	N	?	N/A	Control / note
Is it clear when and how AI is being used in the process?					
Where appropriate, will affected people know AI contributed to an interaction, recommendation or decision?					
Are key assumptions, limitations, controls and approvals documented?					
Is there an owner for ongoing monitoring?					
Are measurable performance/quality indicators defined?					
Will the assessment be revisited after material changes to model, platform, data, purpose, users, integrations or risk?					

8. Decision

PROCEED - Low-risk use case; existing controls are adequate.

PROCEED WITH CONTROLS - Acceptable once listed controls are implemented and owned.

FURTHER ASSESSMENT REQUIRED - Material uncertainty/elevated impact requires specialist review.

DO NOT PROCEED - Risk cannot currently be reduced to an acceptable level or conflicts with organisational requirements.

Action / control	Owner	Due	Status

Decision: _____ Approver: _____ Date: _____

Next review / trigger: _____

Practical principle

The objective is not to make every AI use case risk-free. It is to make the decision **deliberate, proportionate, documented and owned**.

Reference alignment

This independent practical tool is informed by the Australian Government Digital Transformation Agency AI impact-assessment approach and the NIST AI Risk Management Framework / Generative AI Profile. It does not reproduce or claim compliance with either framework. Organisations should apply their own legal, regulatory, privacy, security, procurement, data-classification, DLP and risk-management requirements.

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